emphasis is on ‘Simplifying’ the portfolio to ‘reduce complexity’, ‘Scaling’ businesses ‘through growth and consolidation’, and achieving ‘Synergy’ to become a ‘force multiplier.’ By simplifying, Chandrasekaran sought to reduce subsidiaries and avoid overlaps. To implement this, the Tata businesses were divided into twelve silos. His rationale behind this was simple: ‘If we simplify, it will increase agility.’ It had the imprint of the policy that Ratan had adopted in exiting the non-core business areas after he took over as chairman, Tata Sons.

Achieving scale is also something that harks back to the early days of Ratan’s chairmanship. A subset of the policy was the shutting down of small units, like those of Tata Power in Africa and Tata Motors in southeast Asian countries. As Chandrasekaran says, ‘We should not do things small scale.’

His goal is to create synergy between companies and then scale them under the ‘Tata umbrella’. ‘We got companies to do it and got the Tata theme across the companies,’ he elaborates. Illustrating the successes of this initiative, he says that the various defence companies under Tata were amalgamated, the consumer companies were merged and he got five Tata companies to work together to produce the Tigor EV, the first electric vehicle by Tata Motors.

Preparing the Turf

In his first term, Chandrasekaran quietly prepared the group to become ‘future ready,’ as he terms it, reflecting the same long-term vision that Ratan employed to great success in the group. He envisaged its creation through a three-pillar strategy—first, strengthen the core; second, transform the core; and third, ‘create the future’. Strengthening the core focuses on making every business financially strong. Transformation involves a transition to new energy, the digital space, and reinforcing the supply chain and health and safety. Creating the future involves incubating new technologically advanced businesses such as electronics, 5G connectivity, digital super apps such as the Tata Neu, a personalized shopping app and scaling up defence.

He has also identified ‘five megatrends’: ‘Geopolitics & Supply Chain’, ‘Sustainability’, ‘Digital’, ‘Health and Wellness’ and ‘Talent’ that will shape the Indian economy and industry. These in his telling would increase in importance in the new world that is emerging, altering the post-World War West-dominated architecture. In another move that was akin to what Ratan